

It's hard to judge how, if at all, this compensation structure impacts the longer-term performance of the firm. It does, however, tend to create an intensity and commitment that I believe to be very positive. For better or worse, it further reinforces the short-term focus, particularly because of the annual measurement.

CONGRUENCE WITH INVESTOR INTEREST

Perhaps most importantly, the compensation structure gives everyone—those working at the firm, those investing with the firm and those dealing with the firm in the brokerage area, a single-mindedness that I think is a terrific virtue. There are no cosmetics. The numbers both on individual transactions and annual performance must speak for themselves.

No decision-maker in the firm invests in equities on his own, except through the funds. The capital of the general partners is handled precisely the same as that of the limited partners or investors. There is no regular marketing effort, for the rewards and the growth of assets are achieved via performance. When it works, all this leads to a wonderful and exciting environment.

The goal is simple—the greatest capital growth consistent with risk. This goal is our single-minded continuing objective. We have benefited from considerable investor loyalty and, for me over these 15 years, this has added a real sense of personal satisfaction.